

# Wealth Strategy Snapshot

Educational Analysis — 2026 Tax Year Planning

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Filing Status: Married Filing Jointly | Location: Spanish Fork, Utah

*Educational scenario modeling for discussion with licensed professionals*

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Wealth Strategy Snapshot | 2026 Tax Year Planning | Educational Analysis Only | Consult Licensed Professionals Before Implementation

## Executive Summary

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This analysis explores tax optimization strategies and investment concepts for the 2026 tax year, tailored to the financial profile of a 64-year-old married business owner operating an S-Corp in Utah. It examines retirement contribution maximization with age-64 catch-up provisions, the Qualified Business Income (QBI) deduction (made permanent under the One Big Beautiful Bill Act), real estate acquisition scenarios including short-term rental with cost segregation at 100% bonus depreciation (permanently restored under OBBBA), and Bitcoin-centric investment modeling aligned with an aggressive growth profile.

Based on the strategies modeled, this snapshot illustrates potential first-year value ranging from **\$122,568 (conservative scenario)** to **\$377,436 (aggressive scenario including real estate acquisition)**. Implementation of any strategy should be verified with your CPA and licensed financial advisor.

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# Current Financial Position

| Profile Item        | Detail                                                                                   |
|---------------------|------------------------------------------------------------------------------------------|
| Age / Filing        | 64   Married Filing Jointly   0 dependents (adult children)                              |
| Business Structure  | Single-Member LLC with S-Corp election (2+ years) — established business credit          |
| Business Income     | \$100,000–\$199,000 (net S-Corp income)                                                  |
| W-2 Income          | Not currently taking W-2 salary (see compliance flag below)                              |
| Location            | Spanish Fork, Utah (4.45% flat state income tax, per 2026 SB60)                          |
| Liquid Capital      | \$250,000+ available; \$50,000+ comfortable deploying near-term                          |
| Credit Score        | 760+                                                                                     |
| Home Equity         | \$100K+ equity in primary residence (\$500K value, 2,600 sq ft)                          |
| Emergency Fund      | 6+ months reserved                                                                       |
| Current Deductions  | Home office, vehicle/mileage   Annual deductions ~\$7,000                                |
| Retirement Accounts | No employer 401(k); no HSA; no Solo 401(k); no SEP IRA                                   |
| Risk Tolerance      | Aggressive (maximum growth, comfortable with significant volatility)                     |
| Time Available      | 10–15 hours/week for wealth-building activities                                          |
| Vehicle             | 2025 Tesla Model X (GVWR >6,000 lbs) — 25–75% business use                               |
| Existing Strategy   | Active trading strategy returning 30–40% annually (separate from modeled scenarios)      |
| Est. Marginal Rate  | ~26.5% combined (22% federal + 4.45% Utah)                                               |
| Goals               | Intergenerational wealth, property ownership, more profitable business, asset protection |

⚠ **S-Corp Reasonable Compensation Alert:** S-Corp owners providing services must take reasonable W-2 compensation. Client indicates “no W-2 income” — discuss immediately with CPA. This analysis models ~\$85,000 reasonable salary for contribution calculations. Failure to take reasonable salary is a significant IRS audit trigger.

⚠ **SECURE 2.0 Note (2026):** At age 64, standard catch-up applies (\$8,000 for 401(k)). Super catch-up (\$11,250) is limited to ages 60–63. If S-Corp W-2 salary was under \$150,000 in 2025, pre-tax catch-up contributions remain available for 2026. Verify with CPA.

⚠ **OBBBA Impact (Signed July 4, 2025):** The One Big Beautiful Bill Act made several changes affecting this analysis: 100% bonus depreciation permanently restored for property acquired after January 19, 2025; SALT

deduction cap raised to \$40,000; Section 179 expanded to \$2,500,000; QBI deduction for pass-through businesses made permanent; new Senior Deduction (\$6,000 for age 65+, phasing out at \$75K MAGI) — Harold turns 65 next year and may become eligible. Non-itemizer charitable deduction of \$2,000 (MFJ) now available.

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## Timeline Awareness & Implementation Considerations (2026)

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*These timeline items are provided for calendar awareness. Verify applicability and timing with your tax professional.*

### Week 1 — Compliance & Foundation

- S-Corp salary: Discuss establishing reasonable W-2 compensation with CPA immediately — this is a prerequisite for all retirement strategies
- HSA enrollment: Verify HDHP eligibility, open and fund HSA for 2026 (\$9,750 max)
- 2025 IRA/Roth: Contributions still available through April 15, 2026 — discuss with CPA

### Week 2 — Retirement Accounts

- Solo 401(k): Research providers (Fidelity, Schwab, Vanguard). Plan must be established by Dec 31, 2026 for employee deferrals. Discuss timing with CPA
- Backdoor Roth: Discuss two-spouse strategy (\$17,200 total) with financial advisor

### Week 3 — Investment & Advisory

- Augusta Rule: Identify meeting space, research comparable rental values in Spanish Fork area
- Investment scenario: Review allocation concepts with a licensed financial advisor
- Vehicle log: Begin mileage documentation for 72.5¢/mile (2026 rate)

### Week 4 — Growth & Expansion

- Entity structures: Schedule consultation with estate attorney re: holding entities and trusts for intergenerational wealth
- Real estate: Evaluate STR markets — client interested in arbitrage, ownership, house hacking, and syndications
- Cost segregation: Obtain study quotes if RE acquisition is pursued (100% bonus depreciation available under OBBBA for post-Jan 19, 2025 acquisitions)
- Side business: Explore e-commerce and content creation aligned with asset protection goals

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# 2025 Tax Year: Remaining Opportunities (Before April 15, 2026)

## 2025 Strategies Still Available

The following 2025 contributions can still be made until April 15, 2026:

| Strategy                     | 2025 Limit                                        | Deadline                | Opportunity                                                                                      |
|------------------------------|---------------------------------------------------|-------------------------|--------------------------------------------------------------------------------------------------|
| Traditional / Roth IRA       | \$7,000 + \$1,000 catch-up (50+) = \$8,000/spouse | April 15, 2026          | Up to \$16,000 (both spouses) — Backdoor Roth if over income limits. Discuss with CPA            |
| HSA                          | \$8,550 family + \$1,000 (55+) = \$9,550          | April 15, 2026          | Available if HDHP was in place during 2025. Client has HDHP — verify enrollment dates with CPA   |
| Solo 401(k) Employer Portion | 25% of net SE income                              | Tax filing + extensions | Only if plan was established by Dec 31, 2025. If not established, this is not available for 2025 |
| SEP IRA                      | 25% of net SE income (up to \$69,000)             | Tax filing + extensions | Available even if not yet opened. Potential \$21,000+ employer contribution. Discuss with CPA    |

**No Longer Available for 2025:** Employee 401(k) deferrals (Dec 31 deadline passed), W-4 adjustments (only affect 2026 forward), Augusta Rule rentals (had to occur in 2025), Solo 401(k) employee contributions (Dec 31 deadline passed).

*Verify 2025 contribution eligibility with your CPA. Making prior-year contributions requires careful coordination with your tax return.*

## 2026 Tax Optimization Strategies to Explore

### Strategy Concept: Solo 401(k) Establishment

#### Potential Value: \$14,217 tax savings (2026)

**What It Is:** A retirement plan for self-employed individuals allowing both employee and employer contributions. At age 64, this models \$24,500 employee deferral + \$8,000 standard catch-up + ~\$21,250 employer match (25% of ~\$85K W-2) = ~\$53,750 total  $\times$  26.45% marginal rate = ~\$14,217 in modeled tax savings.

#### How It Works:

1. Establish Solo 401(k) plan with a provider (Fidelity, Schwab, Vanguard) by December 31, 2026
2. Defer \$32,500 in employee contributions (\$24,500 + \$8,000 catch-up for age 64) from W-2 salary
3. S-Corp makes employer contribution of 25% of W-2 salary (~\$21,250 on \$85K)

**Eligibility Criteria:** Self-employed or business owner with no full-time employees (other than spouse). Must take reasonable W-2 compensation from S-Corp. Plan must be established by Dec 31 for employee deferrals.

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*Verify contribution limits and eligibility with CPA. 2026 limits: \$24,500 employee + \$8,000 catch-up (age 64) + 25% employer. Total limit \$72,000. If 2025 FICA wages exceeded \$150,000, catch-up contributions must be Roth.*

### Strategy Concept: HSA Maximization

#### Potential Value: \$2,579 tax savings (2026)

**What It Is:** A triple-tax-advantaged health savings account (tax-deductible contributions, tax-free growth, tax-free qualified withdrawals). At age 64 with family HDHP: \$8,750 + \$1,000 catch-up = \$9,750  $\times$  26.45% = ~\$2,579 modeled savings.

#### How It Works:

1. Enroll in or verify existing High-Deductible Health Plan (HDHP) — client confirms HDHP exists
2. Open HSA account and contribute \$9,750 for 2026 (family \$8,750 + \$1,000 age 55+ catch-up)
3. Invest HSA funds for long-term growth; pay medical expenses out-of-pocket and let HSA compound

**Eligibility Criteria:** Must be enrolled in HDHP. Cannot be enrolled in Medicare (verify — age 64 may be pre-Medicare). Cannot be claimed as dependent.

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*Verify HDHP eligibility and Medicare enrollment status with CPA. 2026 family limit: \$8,750 + \$1,000 catch-up (55+).*

## Strategy Concept: Qualified Business Income (QBI) Deduction (§199A)

### Potential Value: ~\$3,439 tax savings (2026)

**What It Is:** Pass-through business owners can deduct up to 20% of qualified business income from their taxable income. Made permanent by the One Big Beautiful Bill Act (OBBBA). For an S-Corp owner with ~\$65,000 in pass-through income (after \$85K reasonable salary on ~\$150K net income), QBI deduction =  $\$13,000 \times 26.45\% = \sim\$3,439$  modeled savings. Actual pass-through amount depends on total S-Corp net income.

#### How It Works:

1. S-Corp net income minus reasonable W-2 salary = qualified business income (QBI)
2. Deduct 20% of QBI from taxable income (subject to limitations for certain service businesses above income thresholds)
3. Below the MFJ threshold of \$403,550 in 2026 taxable income, most businesses qualify regardless of type

**Eligibility Criteria:** Pass-through business owner (S-Corp, sole prop, partnership). Income must be from a qualified trade or business. W-2/capital limitations apply above income thresholds. SSTB restrictions phase in above \$383,900 (MFJ) for 2026.

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*QBI deduction calculation depends on actual S-Corp net income and reasonable compensation determination. Verify eligibility and calculation with CPA. OBBBA made this deduction permanent (was scheduled to expire after 2025).*

## Strategy Concept: Augusta Rule (IRC §280A)

### Potential Value: \$1,587–\$2,592 tax savings

**What It Is:** Rent your personal residence to your S-Corp for up to 14 days/year — rental income is tax-free to you personally, and the S-Corp deducts the rental expense. Conservative:  $12 \text{ days} \times \$500/\text{day} \times 26.45\% = \$1,587$ . Aggressive:  $14 \text{ days} \times \$700/\text{day} \times 26.45\% = \$2,592$ .

#### How It Works:

1. Document fair market rental value for comparable event space in Spanish Fork, UT
2. Hold legitimate S-Corp board meetings, planning sessions, or team events at your home
3. Execute formal rental agreement; S-Corp pays you rent; maintain minutes and documentation

**Eligibility Criteria:** Business owner with entity (S-Corp). Home must have space suitable for business use. Must not exceed 14 days. Must document FMV with comparable properties.

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*Discuss fair market value documentation and meeting frequency with CPA. Rental must reflect genuine business purpose. The 14-day limit is a hard statutory cap under IRC §280A(g).*

## Strategy Concept: Vehicle Expense Optimization

### Potential Value: \$1,438–\$2,876 tax savings (mileage method)

**What It Is:** Deduct business miles at 72.5¢/mile (2026 rate) for the Tesla Model X. Additionally, the Model X (GVWR >6,000 lbs) may qualify for enhanced §179 depreciation (now expanded to \$2,500,000 under OBBBA). Conservative: 7,500 miles × \$0.725 × 26.45% = \$1,438. Aggressive: 15,000 miles × \$0.725 × 26.45% = \$2,876. §179 heavy-vehicle bonus may add substantially more — discuss with CPA.

#### How It Works:

1. Maintain contemporaneous mileage log from January 1, 2026 forward (apps: MileIQ, Everlance)
2. Track business vs. personal miles — client indicates 25–75% business use
3. Discuss §179 heavy vehicle deduction with CPA (Model X GVWR typically exceeds 6,000 lbs; OBBBA expanded §179 to \$2.5M with \$4M phase-out)

**Eligibility Criteria:** Vehicle used for business purposes. Mileage log required. §179 requires >50% business use and GVWR >6,000 lbs. Mixed-use vehicles require careful documentation.

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*Verify business-use percentage and §179 eligibility with CPA. 2026 mileage rate: 72.5¢/mile. Mileage method and §179 are typically mutually exclusive for the same vehicle — discuss optimal approach with CPA.*

## Strategy Concept: Home Office Deduction

### Potential Value: ~\$458 tax savings

**What It Is:** Deduct the business-use portion of home expenses (mortgage interest, property tax, utilities, insurance, depreciation). Estimated 300 sq ft dedicated space in 2,600 sq ft home = 11.5% allocation × ~\$15,000 annual home costs × 26.45% = ~\$458.

#### How It Works:

1. Designate a room used regularly and exclusively for business (not mixed-use)
2. Calculate square footage percentage of total home
3. Deduct proportionate share of qualifying home expenses or use simplified method (\$5/sq ft, max 300 sq ft = \$1,500)

**Eligibility Criteria:** Space must be used regularly and exclusively for business. Client confirms dedicated workspace exists.

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*Discuss regular-and-exclusive-use test with CPA. Consider simplified method (\$5/sq ft) vs. actual expense method.*

## Strategy Concept: Backdoor Roth IRA (Both Spouses)

### Potential Value: \$17,200 positioned for tax-free growth

**What It Is:** High-income earners can contribute to a Roth IRA via the “backdoor” method — contribute to a Traditional IRA then convert to Roth. For 2026: \$7,500 + \$1,100 catch-up (age 50+) = \$8,600 per spouse × 2 = \$17,200 total positioned in tax-free growth accounts.

#### How It Works:

1. Contribute \$8,600 per spouse to Traditional IRA (non-deductible)
2. Convert to Roth IRA (ideally same tax year; verify pro-rata rule with CPA)
3. Investments grow tax-free; qualified withdrawals are tax-free in retirement

**Eligibility Criteria:** No income limit for backdoor method. Must have zero Traditional IRA balance for clean conversion (pro-rata rule). Spouse must have earned income or file jointly.

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*Discuss pro-rata rule implications and conversion timing with CPA. 2026 limit: \$7,500 + \$1,100 catch-up (50+).*

## Strategy Concept: Short-Term Rental + Cost Segregation (Aggressive Only)

### Potential Value: \$22,000–\$33,500 first-year tax benefit

**What It Is:** Acquire a short-term rental property and accelerate depreciation through a cost segregation study. STRs with average stay  $\leq 7$  days and material participation can generate losses that offset active/W-2 income (no passive activity limitation). Under the One Big Beautiful Bill Act (OBBBA), 100% bonus depreciation is permanently restored for property acquired after January 19, 2025.

#### Cost Segregation Methodology (OBBBA — 100% Bonus Depreciation):

1. **Building basis:** \$375,000 purchase price – 20% land (\$75,000) = \$300,000 depreciable basis
2. **Cost seg reclassification:** Study typically reclassifies 25–40% of building basis to 5, 7, or 15-year property = \$75,000–\$120,000
3. **100% bonus depreciation (OBBBA):** Reclassified components receive 100% first-year deduction = \$75,000–\$120,000
4. **Remaining straight-line:** (\$300K – reclassified) / 27.5 years = \$6,545–\$8,182 first-year
5. **Total Year 1 depreciation:** \$83,182–\$126,545
6. **Tax benefit at 26.45%:** ~\$22,000–\$33,500

#### Material Participation Requirements:

1. Average guest stay must be  $\leq 7$  days to qualify as non-passive under IRC §469
2. Owner must materially participate (100+ hours annually, more than any other individual)
3. 10–15 hrs/week availability supports material participation requirement

**Eligibility Criteria:** Material participation required. Average stay must be  $\leq 7$  days. Must be filed correctly to offset non-passive income. Client indicated strong interest in STR ownership, arbitrage, house hacking, and syndications.

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*Real estate tax strategies have specific documentation and participation requirements. Work with a qualified tax professional to ensure compliance. Cost segregation study must be performed by a qualified engineering firm. Note: OBBBA permanently restored 100% bonus depreciation for property acquired after Jan 19, 2025. Property acquired on or before that date remains subject to TCJA phase-down rates.*

# Primary Strategy Education: Real Estate & Entity Structure

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## Real Estate as a Wealth-Building & Tax Optimization Tool

Client's stated goals — intergenerational wealth, property ownership, and income generation — align with real estate education. With 10–15 hours/week available and aggressive risk tolerance, the following concepts are commonly explored:

**Short-Term Rental (STR) Concept:** Properties with average guest stays of 7 days or fewer receive special tax treatment. When the owner materially participates (100+ hours annually and more than any other individual), losses from accelerated depreciation can offset active income — unlike traditional rental properties where losses are typically “passive.” This is one of the most powerful legal tax strategies available to active real estate investors.

**Cost Segregation Concept:** A cost segregation study reclassifies building components (cabinetry, flooring, fixtures, landscaping, etc.) from 27.5-year or 39-year depreciation to 5, 7, or 15-year classes. With 100% bonus depreciation permanently restored under OBBBA for property acquired after January 19, 2025, reclassified components receive full first-year deduction. On a \$375K property with \$300K building basis, studies commonly reclassify 25–40% into accelerated categories.

**Entity & Trust Education:** Client expressed interest in holding entities and trust structures for asset protection and intergenerational wealth. Common structures include LLCs for liability protection on rental properties, revocable living trusts for probate avoidance, and irrevocable trusts for estate tax planning. These are complex legal structures requiring an experienced estate attorney — not something to implement without professional guidance.

**Professional Consultation Required:** Real estate acquisition, cost segregation, material participation tracking, and entity/trust structures all require coordination between a CPA, real estate attorney, and potentially a certified cost segregation firm. Discuss specific implementation with your professional team before proceeding.

# Illustrative Portfolio Scenario

## Educational Investment Scenario (Based on Profile Analysis)

Profile signals: Aggressive risk tolerance → higher Bitcoin allocation. Goals = intergenerational wealth + growth → growth-focused. Time = 10–15 hrs/week → supports active strategies. Capital = \$50K+ conservative / \$250K+ aggressive. Client also has an existing trading strategy (30–40% annual returns) — this scenario models new capital deployment only.

| Asset Class | Scenario % | Conservative (\$50,000) | Aggressive (\$250,000) | Educational Rationale                                                                                                                      |
|-------------|------------|-------------------------|------------------------|--------------------------------------------------------------------------------------------------------------------------------------------|
| Bitcoin     | 55%        | \$27,500                | \$137,500              | Core wealth accumulation vehicle; fixed 21M supply, increasing institutional adoption; aligned with aggressive growth profile              |
| STRC        | 25%        | \$12,500                | \$62,500               | Bitcoin-correlated income (~10–12% yield); passive cash flow for intergenerational positioning. Verify current yield at time of investment |
| VTI / VOO   | 20%        | \$10,000                | \$50,000               | Broad U.S. equity diversification; lower-volatility ballast; commonly used for portfolio stability (0.03% expense ratio)                   |

*Note: For an aggressive, growth-focused profile, allocation scenarios of 70%+ to Bitcoin are commonly modeled. The 55% allocation shown here reflects a moderate approach within the aggressive spectrum, considering the client’s existing separate trading strategy. Discuss optimal allocation with a licensed financial advisor who understands your complete situation.*

*This scenario models one approach based on the aggressive, growth-focused profile indicated. Specific investment decisions should be made in consultation with a licensed financial advisor who understands your complete situation. All investments carry risk, including potential loss of principal. Bitcoin and cryptocurrency are highly volatile and speculative.*

# Modeled First-Year Value Summary (2026 Tax Year)

| Category                                               | Item                   | Conservative | Aggressive | Notes                                                   |
|--------------------------------------------------------|------------------------|--------------|------------|---------------------------------------------------------|
| CATEGORY A: TAX OPTIMIZATION                           |                        |              |            |                                                         |
| Tax                                                    | Solo 401(k)            | \$14,217     | \$14,217   | \$53,750 × 26.45%                                       |
| Tax                                                    | HSA Maximization       | \$2,579      | \$2,579    | \$9,750 × 26.45%<br>(family + 55+ catch-up)             |
| Tax                                                    | QBI Deduction (§199A)  | \$3,439      | \$3,439    | ~\$13K QBI × 26.45% (est. \$65K pass-through)           |
| Tax                                                    | Augusta Rule           | \$1,587      | \$2,592    | 12–14 days × \$500–\$700 × 26.45%                       |
| Tax                                                    | Home Office            | \$458        | \$458      | ~11.5% of \$15K home costs × 26.45%                     |
| Tax                                                    | Vehicle (72.5¢/mile)   | \$1,438      | \$2,876    | 7,500–15,000 miles × \$0.725 × 26.45%                   |
| Tax                                                    | STR + Cost Segregation | \$0          | \$30,000   | ~35% of \$300K building basis × 100% bonus dep × 26.45% |
| Tax Optimization Subtotal                              |                        | \$23,718     | \$56,161   |                                                         |
| CATEGORY B: INVESTMENT INCOME (YIELD / DIVIDENDS)      |                        |              |            |                                                         |
| Income                                                 | STRC Yield (10–12%)    | \$1,250      | \$7,500    | \$12,500 × 10% / \$62,500 × 12%                         |
| Income                                                 | ETF Dividends (1.5–2%) | \$150        | \$1,000    | \$10,000 × 1.5% / \$50,000 × 2%                         |
| Investment Income Subtotal                             |                        | \$1,400      | \$8,500    |                                                         |
| CATEGORY C: INVESTMENT APPRECIATION (PROJECTED GROWTH) |                        |              |            |                                                         |
| Growth                                                 | Bitcoin (25–50%)       | \$6,875      | \$68,750   | \$27,500 × 25% / \$137,500 × 50%                        |
| Growth                                                 | STRC (15–30%)          | \$1,875      | \$18,750   | \$12,500 × 15% / \$62,500 × 30%                         |

|                                                         |                                    |                  |                  |                                                           |
|---------------------------------------------------------|------------------------------------|------------------|------------------|-----------------------------------------------------------|
| Growth                                                  | VTI/VOO (8–12%)                    | \$800            | \$6,000          | $\$10,000 \times 8\%$ /<br>$\$50,000 \times 12\%$         |
| <b>Appreciation Subtotal</b>                            |                                    | <b>\$9,550</b>   | <b>\$93,500</b>  |                                                           |
| <b>CATEGORY D: REAL ESTATE (AGGRESSIVE ONLY)</b>        |                                    |                  |                  |                                                           |
| RE                                                      | STR Annual Cash Flow (NOI)         | \$0              | \$30,000         | After expenses;<br>market dependent                       |
| RE                                                      | Property Appreciation (4.5%)       | \$0              | \$16,875         | $4.5\% \times \$375,000$<br>property                      |
| RE                                                      | Mortgage Principal Paydown         | \$0              | \$4,500          | Year 1 equity build                                       |
| <b>Real Estate Subtotal</b>                             |                                    | <b>\$0</b>       | <b>\$51,375</b>  | <b>Conservative = no RE</b>                               |
| <b>CATEGORY E: CASH FLOW IMPROVEMENTS</b>               |                                    |                  |                  |                                                           |
| Cash Flow                                               | Estimated Tax Payment Optimization | \$1,200          | \$2,400          | Timing of new<br>deductions                               |
| <b>Cash Flow Subtotal</b>                               |                                    | <b>\$1,200</b>   | <b>\$2,400</b>   |                                                           |
| <b>CATEGORY F: WEALTH BUILDING (DOLLARS POSITIONED)</b> |                                    |                  |                  |                                                           |
| Wealth                                                  | Solo 401(k) Contributions          | \$53,750         | \$53,750         | $\$24,500 + \$8,000$<br>catch-up + $\$21,250$<br>employer |
| Wealth                                                  | HSA Contributions                  | \$9,750          | \$9,750          | $\$8,750$ family +<br>$\$1,000$ (55+)                     |
| Wealth                                                  | Backdoor Roth IRA (Both Spouses)   | \$17,200         | \$17,200         | $\$8,600 \times 2$ (both<br>50+)                          |
| Wealth                                                  | Augusta Rule Income Received       | \$6,000          | \$9,800          | Tax-free under 14-<br>day rule                            |
| Wealth                                                  | RE Equity Position (Down Payment)  | \$0              | \$75,000         | 20% down on $\$375K$<br>property                          |
| <b>Wealth Building Subtotal</b>                         |                                    | <b>\$86,700</b>  | <b>\$165,500</b> |                                                           |
| <b>TOTAL FIRST-YEAR VALUE (2026)</b>                    |                                    | <b>\$122,568</b> | <b>\$377,436</b> |                                                           |

**Important:** Projected values are illustrative estimates for the 2026 tax year based on assumptions stated. Investment appreciation is based on historical performance and is not guaranteed — past performance does not guarantee future results. All investments carry risk including potential loss of principal. Bitcoin and cryptocurrency are highly volatile. Real estate projections depend on market conditions, occupancy, and expenses. Tax savings shown use 2026 IRS limits per Rev. Proc. 2025-32 and incorporate OBBBA provisions (signed July 4, 2025). Combined marginal rate of ~26.45% (22% federal + 4.45% Utah per 2026 SB60). Consult with your licensed professionals before implementation.



# Calendar Awareness & Key Dates (2026)

| Date              | Consideration                                             | Notes                                                |
|-------------------|-----------------------------------------------------------|------------------------------------------------------|
| April 15, 2026    | Last day for 2025 IRA and HSA contributions               | Discuss with CPA before deadline                     |
| April 15, 2026    | 2025 tax return filing deadline (or extension)            | SEP IRA for 2025 available until filing + extensions |
| Ongoing (2026)    | S-Corp reasonable salary — establish W-2 payroll          | Prerequisite for Solo 401(k) and all strategies      |
| Q2 2026           | HSA enrollment and funding for 2026                       | Verify HDHP status; fund \$9,750                     |
| Q2–Q3 2026        | RE market analysis and acquisition timeline (if pursuing) | Allow time for cost seg study after closing          |
| Throughout 2026   | Augusta Rule meetings — schedule 12–14 sessions           | Document FMV, minutes, attendees                     |
| December 31, 2026 | Solo 401(k) plan establishment deadline                   | Required for 2026 employee deferrals                 |
| December 31, 2026 | 401(k) employee contributions for 2026                    | \$32,500 (\$24,500 + \$8,000 catch-up)               |
| April 15, 2027    | Last day for 2026 IRA and HSA contributions               | Backdoor Roth and HSA can be funded retroactively    |

Verify all deadlines with your tax professional. Dates may shift if they fall on weekends or holidays.

# Questions for Your Professional Team

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## For Your CPA

- What is the appropriate reasonable W-2 salary for my S-Corp, and how do we establish payroll for 2026?
- Based on my income and age (64), what are my maximum 2026 Solo 401(k) contributions?
- Do I need to make 2026 catch-up contributions as Roth due to SECURE 2.0 (\$150K+ threshold)?
- Can I still make 2025 IRA, HSA, or SEP contributions before April 15?
- What documentation do I need for Augusta Rule rentals in Spanish Fork?
- Does my Tesla Model X qualify for §179 heavy-vehicle deduction at my current business-use percentage?
- If I acquire an STR property, how does cost segregation work with 100% bonus depreciation under OBBBA?
- Am I eligible for HSA given my age — any Medicare enrollment considerations?
- What is my QBI deduction amount based on actual S-Corp net income and reasonable salary?
- Will I qualify for the Senior Deduction (\$6,000) when I turn 65 next year?

## For Your Attorney

- What holding entity structure is appropriate for asset protection and intergenerational wealth transfer?
- Should rental properties be held in a separate LLC?
- What trust structures (revocable, irrevocable, dynasty) align with my goals for adult children?
- How should I structure an e-commerce or side business for liability protection?

## For Your Financial Advisor

- How does this investment scenario align with my overall retirement timeline and goals?
- What is the appropriate Bitcoin allocation given my age and risk profile?
- How should I think about liquidity needs alongside an aggressive growth strategy?
- What custodian or platform options exist for Bitcoin and STRC positions?

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# Professional Team Considerations

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| Professional               | Role in Strategy Implementation                                                    | Key Discussion Areas                                                                                           |
|----------------------------|------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------|
| CPA / Tax Professional     | Verify eligibility, calculate exact contributions, file returns, ensure compliance | S-Corp salary, Solo 401(k), HSA, QBI deduction, Augusta Rule, vehicle deductions, cost seg, 2025 cleanup items |
| Estate / Business Attorney | Entity formation, trust structures, asset protection, operating agreements         | Holding entities, trusts for intergenerational wealth, LLC for rental properties, e-commerce structure         |
| Licensed Financial Advisor | Investment implementation, portfolio construction, risk management                 | Bitcoin allocation, STRC positioning, retirement account investments, overall asset allocation                 |
| Real Estate Professional   | Market analysis, property acquisition, property management                         | STR market selection, acquisition strategy, management approach (self vs. professional)                        |
| Cost Segregation Firm      | Engineering-based study for accelerated depreciation                               | Property type, study cost, projected reclassification amounts, 100% bonus depreciation under OBBBA             |

*Client indicates current insurance provider — looking to switch. Consider adding insurance advisor to professional team for HDHP verification and asset protection review.*

# Review Milestones & Checkpoints

| Timeframe    | Milestone                  | Consideration                                                                                                          |
|--------------|----------------------------|------------------------------------------------------------------------------------------------------------------------|
| 30 Days      | Foundation established     | S-Corp payroll set up, HSA opened, 2025 cleanup items addressed, Solo 401(k) provider selected                         |
| 60 Days      | Retirement accounts active | Solo 401(k) contributions started, Backdoor Roth initiated, Augusta Rule meetings scheduled                            |
| 90 Days      | Investment & RE evaluation | Investment scenario reviewed with financial advisor, RE market analysis completed, entity/trust consultation scheduled |
| 6 Months     | Mid-year review            | Contribution tracking, mileage log review, RE acquisition timeline (if pursuing), estimated tax payment adjustments    |
| Q4 2026      | Year-end planning          | Maximize remaining 401(k) contributions, confirm Augusta Rule documentation, tax-loss harvesting if applicable         |
| Dec 31, 2026 | Hard deadlines             | Solo 401(k) plan establishment, employee contributions completed, entity formations for 2027 planning                  |

*These milestones are considerations for discussion, not requirements. Adjust timeline based on professional guidance and personal circumstances.*

# Educational Resources & 2026 Reference

## 2026 Contribution Limits Reference

| Account Type                  | Base Limit | Catch-Up (50+) | Super Catch-Up (60–63) | Harold (Age 64)               |
|-------------------------------|------------|----------------|------------------------|-------------------------------|
| 401(k) Employee Deferral      | \$24,500   | +\$8,000       | +\$11,250              | \$32,500 (\$24,500 + \$8,000) |
| 401(k) Total (Emp + Employer) | \$72,000   | +\$8,000       | +\$11,250              | Up to \$80,000                |
| HSA (Family Coverage)         | \$8,750    | +\$1,000 (55+) | N/A                    | \$9,750                       |
| HSA (Individual Coverage)     | \$4,400    | +\$1,000 (55+) | N/A                    | \$5,400                       |
| Traditional / Roth IRA        | \$7,500    | +\$1,100       | N/A                    | \$8,600/spouse                |

Business mileage rate for 2026: 72.5¢/mile. | SECURE 2.0: Super catch-up (\$11,250) applies only to ages 60–63. Age 64 reverts to standard \$8,000 catch-up. High earners (\$150K+ FICA wages in 2025) must make catch-up contributions as Roth. | OBBBA: 100% bonus depreciation permanent for post-Jan 19, 2025 acquisitions. Section 179 expanded to \$2.5M. QBI deduction permanent. SALT cap \$40,000.

## IRS Resources (For Educational Reference)

| Topic                               | IRS Resource                                                              |
|-------------------------------------|---------------------------------------------------------------------------|
| Solo 401(k) / One-Participant Plans | IRS.gov — “One-Participant 401(k) Plans”                                  |
| HSA Contribution Limits             | IRS Publication 969 — Health Savings Accounts                             |
| Home Office Deduction               | IRS Publication 587 — Business Use of Your Home                           |
| Vehicle / Mileage Deduction         | IRS Publication 463 — Travel, Gift, and Car Expenses                      |
| Rental Income (Augusta Rule)        | IRC §280A(g) — 14-Day Rental Exclusion                                    |
| Cost Segregation                    | IRS Cost Segregation Audit Techniques Guide                               |
| Backdoor Roth IRA                   | IRS Publication 590-A — Contributions to IRAs                             |
| S-Corp Reasonable Compensation      | IRS Fact Sheet FS-2008-25                                                 |
| QBI Deduction (§199A)               | IRS.gov — “Qualified Business Income Deduction”                           |
| OBBBA Provisions                    | IRS Notice 2026-11 (Bonus Depreciation); Rev. Proc. 2025-32 (2026 Limits) |

For educational reference only. Verify all current rules and limits at IRS.gov or with your tax professional.

## Important Disclaimers

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**Educational Purpose:** This Wealth Strategy Snapshot is provided for educational and illustrative purposes only. It does not constitute individualized investment, tax, or legal advice.

**Not Investment Advice:** Legacy Investing Show and its staff are not registered investment advisers. This document does not recommend the purchase, sale, or holding of any security. Investment scenarios presented are illustrative models for educational purposes only. All investments carry risk including potential loss of principal.

**Not Tax Advice:** Tax strategies discussed are educational explanations of how certain provisions work. Eligibility, implementation, and actual tax outcomes depend on your specific circumstances and must be verified by a qualified CPA or tax attorney before implementation.

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**No Guarantees:** Projected values, potential savings, and scenario outcomes are illustrative estimates based on assumptions stated. Actual results will vary based on market conditions, tax law changes, and individual circumstances. Past performance does not guarantee future results.

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**Tax Law Changes:** Tax laws change regularly. Information presented reflects understanding as of March 2026 using 2026 IRS limits per Rev. Proc. 2025-32, incorporating OBBBA provisions signed July 4, 2025. Utah state income tax rate reflects 2026 SB60 (4.45%). Verify current rules with your tax professional.

**Professional Consultation Required:** Before implementing any strategy discussed in this document, consult with qualified licensed professionals including a CPA, attorney, and/or registered investment adviser who understand your complete financial situation.

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Wealth Strategy Snapshot | 2026 Tax Year Planning | Educational Analysis Only | Consult Licensed Professionals Before Implementation  
Prepared for Harold Vaughn Heath | March 2026